

# Federal Fair Housing Law Summary

Throughout history, members of certain groups have been given different levels of service or were denied service by people in the real estate industry. A number of laws have attempted to prohibit discrimination and provide remedies to those who continue to experience it.

## Civil Rights Act of 1866

The Civil Rights Act of 1866 recognized all persons born in the U.S. as citizens, regardless of race or color, and protected the rights of every U.S. citizen to buy, sell, convey, inherit, and possess property, as well as to enter into contracts. In short, it made it illegal to discriminate on the basis of race or color, without exception. However, because there was no federal agency in place to enforce the laws, it would take another 100 years before the country saw a real shift in practice.

## Executive Order No. 11063

In 1962, President John F. Kennedy signed Executive Order No. 11063, which essentially ended segregation in federally funded housing.

## Civil Rights Act of 1964

The Civil Rights Act of 1964 prohibited discrimination based on race, color, national origin, and religion in programs receiving federal financial assistance. This act set the stage for the Fair Housing Act.

## Fair Housing Act of 1968

The federal Fair Housing Act of 1968 began a monumental change in the U.S. On April 11, 1968, fair housing reached a pivotal moment when President Lyndon Johnson signed the Civil Rights Act. Title VIII of the Civil Rights Act, called the Fair Housing Act, prohibited discrimination in the sale, rental, and financing of housing and housing-related transactions based on **race, color, national origin, and religion**. It also created the **Office of Fair Housing and Equal Opportunity (FHEO)** under the U.S. Department of Housing and Urban Development (HUD). This agency is charged with enforcing fair housing laws and holding all parties accountable for compliance with these laws and regulations. Individuals who have experienced housing discrimination can file a complaint with this agency at no cost to themselves.

## Housing and Community Development Act of 1974

The **Housing and Community Development Act of 1974** amended the Fair Housing Act of 1968 to add sex to the list of protected classes. In the years leading up to this time, women endured sexual harassment and discrimination by landlords and sellers that made it difficult for them when obtaining housing.

## Equal Credit Opportunity Act of 1974

During this time, women continued to lack credit, and lenders considered their salaries to be temporary or unstable. The **Equal Credit Opportunity Act of 1974 (ECOA)** backed up the Housing and Community Development Act by requiring lenders to give businesses and consumers equal access to credit. ECOA prohibits discrimination "on the basis of race, color, religion, national origin, sex, marital status, or age (provided the applicant has the capacity to contract)." In addition, lenders must offer reasons when rejecting applications, and must respond to all applications within 30 days.

## Fair Housing Amendments Act

In 1988, the Fair Housing Amendments Act provided consumers with remedies if they believed they were victims of discrimination in the sale, rental, or financing of housing. This act also added familial status and disability (both physical and mental) to the existing protected classes. Owners must, when necessary, make reasonable accommodations to the rules, policies, and practices in order to provide a person with a disability access to dwellings.

## Americans with Disabilities Act of 1990

The **Americans with Disabilities Act of 1990 (ADA)** prohibits discrimination based on disability in programs, services, and activities provided or made available by public entities. It strengthened the 1988 amendments regarding disabilities. Title II of the act applies to public housing, housing assistance, and housing referrals. HUD is responsible for enforcing Title II.

## Housing for Older Persons Act of 1995

The Housing for Older Persons Act of 1995 (HOPA) states that communities and facilities that meet certain criteria for providing housing to older persons are legally exempt from familial status discrimination. The housing must have one person who is age 55 or older residing in at least 80% of its occupied units, and the housing provider must demonstrate that the housing is intended for persons 55 and older.

## Exemptions to the Fair Housing Act

Fair housing law was designed to protect citizens from discrimination. It was not designed to prohibit non-discriminatory behavior, or even certain behaviors that discriminate, but to protect citizens seeking housing. Some exemptions to coverage under the Fair Housing Act include:

- **Owner-occupied dwellings with no more than four families living independently of each other** [U.S.C. § 3603 (b) (2)]: Suppose an older widow were to rent out rooms in her home to help make ends meet. This imagined "Mrs. Murphy" is exempt from fair housing laws. This is referred to as the "Mrs. Murphy exemption." However, Mrs. Murphy could not run discriminatory advertising if she were to advertise her rental. And if Mrs. Murphy used the services of a real estate agent, the exemption would not apply.
- **Single-family housing sold or rented without the use of a broker** [U.S.C. §3603 (b)(1)]: This is applicable if the private individual owner does not own more than three such single-family homes at one time.
- **Housing operated by religious organizations and private clubs that limit occupancy to members** [ U.S.C. § 3607 (a)]: Religious organizations are allowed to give preference to and/or restrict occupancy in non-commercial housing to individuals of the same religion, as long as the religion doesn't restrict membership based on race, color, or national origin. Private clubs are also allowed to give preference to and/or restrict occupancy in non-commercial housing to members.
- **Housing designated for senior use:** Federal law allows an exemption *on the basis of familial status only* for senior housing (not all protected classes). Senior housing must meet any of the following specific requirements to qualify for this exemption:
  - HUD has determined that the dwelling is specifically designed for and occupied by older persons under a federal, state, or local government program
  - It is occupied solely by persons who are 62 or older
  - It houses at least one person who is 55 or older in at least 80% of the occupied units, and adheres to a policy that demonstrates intent to house persons who are 55 or older.

**Note:** When state and federal laws conflict, as they sometimes do in fair housing/human rights, you'll find yourself following a more restrictive state law. That's because state laws aren't allowed to reduce the rights granted to citizens by the federal law, nor can the state law limit the responsibilities citizens have under federal law. For example, state law can't reduce rights granted under the Civil Rights Act of 1866, which prohibits all discrimination on the basis of race, color, or national origin, but the state can add more protective classes.